

The \$164 Subscriber: Disney's Sports vMVPD Priced for Liquidation

Equity Research Note · Media — Streaming / vMVPD · October 4, 2026

Recommendation	BUY (Speculative)
12-Mo. Price Target	\$33
Current Price	\$8.66 (Oct 2, 2026 close)
Implied Upside	+281%
Risk Rating	High

Fubo — now the combined Fubo + Hulu + Live TV business, 70% owned by Disney — is the sixth-largest pay-TV operator in the U.S. with ~5.75 million subscribers, inflecting toward profitability (three straight quarters of positive adjusted EBITDA; free cash flow nearly breakeven). The market values the equity at \$164 per subscriber and 0.15x revenue — levels that price in permanent decline: our reverse-DCF shows the \$8.66 quote implies either a roughly –10% annual revenue decline for a decade or a ~3.5–4% steady-state EBITDA margin, below management's own 2028 target (\$300M EBITDA, ~4–5% margin). In January 2025, Disney's deal implicitly valued these same subscribers at roughly \$800–1,000 apiece. This v2 rebuild values Fubo under hardened rules — scenario-specific discount rates (12% base / 14.5% bear / 10.5% bull), a bear case that genuinely hurts (\$2.91, –66%), and terminal growth capped at 2% on mid-cycle margins. The probability-weighted DCF (25/50/25) lands at \$32.55; we set a \$33 twelve-month target, the weighted fair value rounded. This is a High-risk special situation, not a compounder: minority shareholders have no vote (the 1-for-12 reverse split was executed by Disney written consent alone), 79M shares of future overhang are registered, and the vMVPD remains a structurally thin-margin reseller. Size accordingly.

Full economic equity value \$946M @ \$8.66 · Class A float value ~\$262M (30.2M sh.) · 52-week range (split-adj.) \$7.95–\$52.68 · Enterprise value ~\$1.03B · FY2026E revenue (cons.) ~\$6.19B · Net debt (6/30/26) ~\$86M · Subscribers (FQ3'26) 5.75M North America · Short interest 20.9% of float. Prices as of October 2, 2026 close. Per-share figures are post the 1-for-12 reverse split effective March 23, 2026. This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

The quote prices in failure; the business is inflecting. At \$8.66 the market implies either a ~–10% ten-year revenue decline (at our base-case margins) or a ~3.5–4% steady-state EBITDA margin — below the ~4–5% margin embedded in management's public 2028 target of at least \$300M in adjusted EBITDA. Yet the combined company has printed three consecutive quarters of positive adjusted EBITDA (\$41.4M, \$37.7M, \$19.1M), management raised FY2026 guidance to \$90–100M, and free cash flow improved from –\$41M to –\$7.5M year over year. The bar the market sets is lower than the bar management already clears.

The Disney combination was a genuine transformation, not a rescue narrative. Closed October 29, 2025, the Up-C transaction married Fubo's sports-first product with Hulu + Live TV's ~4.6M subscribers, creating a ~6M-subscriber, sixth-ranked U.S. pay-TV operator overnight. Disney brings three tangible assets: a \$145M Disney term note (4.2%, due 2031 — drawn January 2026 to retire the converts), the Disney Ad Server migration (lifting ad fill rates and CPMs), and content-packaging flexibility that a sub-scale standalone could never negotiate.

Valuation is distressed on every relative metric. \$164 per subscriber and 0.15x EV/revenue versus ~\$800–1,000 per subscriber implied when Disney struck the deal in January 2025, and versus \$400–1,000 per sub in precedent pay-TV

transactions. Even at trough multiples — 0.5x revenue, \$400/sub, 10x the 2028E \$300M EBITDA target (present-valued) — fair value is \$20–28 per share, roughly 2.5x to 3x the quote.

There is a free takeout option embedded. Disney owns 70% of the economics and a majority of the votes; taking out the 30% stub at a strategic 0.5–0.75x sales multiple equates to \$28–42 per share. Minority shareholders cannot force it, but Disney's \$145M loan commitment and board control signal long-term strategic — not financial — ownership, and strategic owners eventually clean up stubs.

The other side is real, and it is governance. Public shareholders own economics but no control: Disney executed the 1-for-12 reverse split by written consent without a shareholder meeting, the authorized share count was not reduced (dry powder for future issuance), and 79M Class A shares are registered for eventual exchange of Disney's interest — a permanent overhang. The vMVPD itself is a structurally thin-margin reseller (~7% gross margins; content owners capture the value), and 21% short interest says sophisticated money disagrees. Hence BUY (Speculative), High risk — a small position in a wide-range stub, not a core holding.

2. Company & the Disney deal: a 70%-controlled stub

FuboTV (New York; founded 2015 by David Gandler) launched as a soccer-streaming service and went public in October 2020 as a sports-first virtual MVPD. The problem was scale: as a ~2M-subscriber standalone it paid among the highest per-subscriber content rates in the industry and burned cash every quarter. The Disney transaction rewrote the company: announced January 6, 2025 (Disney contributes Hulu + Live TV, ~4.6M subs; Fubo drops its Venu antitrust suit for a \$220M settlement), closed October 29, 2025 via an Up-C reorganization. Hulu is the accounting acquirer, so as-reported history is Hulu + Live TV carve-out numbers — year-over-year comparisons are only meaningful on the company's pro forma basis. On March 23, 2026 a 1-for-12 reverse split (by Hulu written consent; no shareholder meeting) cut Class A to ~30.2M shares and Class B to ~79.0M; the authorized count was not reduced. In July 2026 Alisa Bowen (then president of Disney+) succeeded Gandler as CEO.

What the public shareholder owns: 30.20M Class A shares (the float, ~30% of OpCo economics and vote) plus 78.99M Class B held by Hulu/Disney. Every per-share figure in this note divides by 109.2M economic-equivalent shares — the \$8.66 quote therefore capitalizes the whole combined entity at \$946M, not just the float. This is a controlled company in the strong sense: Disney can — and did — amend the charter by written consent.

3. Financial situation: inflecting, still fragile

Read the numbers on the pro forma basis. Three quarters into the combination, the trajectory is unambiguously improving: revenue stable around \$1.5–1.7B per quarter, adjusted EBITDA positive every quarter, free cash flow approaching breakeven.

Pro forma, \$M	FQ1'26	FQ2'26	FQ3'26	Prior-year PF
Revenue (North America)	\$1,675	\$1,566	\$1,474	\$1,475
Subscribers (NA, period-end)	6.2M	5.7M	5.75M	5.63M
Adjusted EBITDA	\$41.4	\$37.7	\$19.1	\$31.0
Adj. EBITDA margin	2.5%	2.4%	1.3%	2.1%
Free cash flow	—	\$(214.7)*	\$(7.5)	\$(41.4)

*Q2 FCF outflow was seasonal working capital. Sources: Fubo 8-K exhibits (2/2026, 5/6/2026), FQ3'26 press release (8/2026). Management guides FY2026 adjusted EBITDA of \$90–100M (raised August 2026; ~1.5% margin on ~\$6.2B pro forma revenue) and targets at least \$300M by FY2028 (~4–5% margin) with positive free cash flow in FY2027. Gross margin sits near 7% — the vMVPD's structural reality: ~93 cents of every revenue dollar goes to content owners. Profitability must come from scale leverage on the remaining cents plus advertising, which is why the Disney Ad Server migration (completion expected by year-end 2026) matters more than any subscriber headline.

Balance sheet: \$236.4M cash (6/30/26) against \$322.5M debt (\$145M Disney senior unsecured note at 4.2% due 2031 + \$177.5M converts due 2029); net debt ~\$86M. Large NOL stock shields cash taxes near-term. Liquidity is workable but the plan is the inflection: consensus FCF turns positive (+\$125M) in FY2027 after –\$441M in FY2026. A miss on the FY2027 FCF target re-opens the dilution question, and the un-reduced authorized share count gives management

the tool to answer it. Trailing GAAP EPS of \$3.84 is an accounting artifact of the \$220M Venu settlement — ignore it.

4. Growth & outlook: three synergy engines and a 2028 target

The investment case does not require Fubo to win the streaming wars. It requires the combined company to harvest the synergies Disney underwrote: \$300M of adjusted EBITDA by 2028 and positive FCF in 2027. Three engines: (1) **Advertising optimization** — the Disney Ad Server migration is already lifting fill rates and CPMs (credited for the FQ3 EBITDA beat); in a ~7%-gross-margin business every incremental ad dollar falls almost entirely to EBITDA; 2027 is the first full year of benefit. (2) **Content-cost flexibility** — at ~6M subscribers the combined company negotiates as the sixth-largest U.S. pay-TV operator, and Disney's ownership changes the bargaining dynamic; flexible packaging (the \$64.99 Sports + News skinny tier) is itself a synergy. (3) **Distribution and marketing** — the ESPN reseller arrangement puts Fubo inside ESPN's purchase flow; cross-promotion across Disney's portfolio replaces paid subscriber acquisition. The math of the 2028 target: \$300M on ~\$6.8B consensus FY2028 revenue is a ~4.4% margin — roughly double today's ~2% run rate — bridged by ~\$100M+ of net synergies plus operating leverage. It is a credible bridge if subscriber losses stay in the low single digits and the ad-server migration delivers. No management target is taken at face value in our valuation: our base case assumes only an 8% steady-state EBITDA margin, well short of synergy-optimist hopes.

5. Competition: a scale game Fubo just bought its way into

Service	Base price	Est. subs	Positioning vs. Fubo
YouTube TV (Google)	\$82.99	10M+	Scale leader; Feb-2026 genre plans (\$64.99 Sports) bracket Fubo's ladder; sets the price ceiling
Hulu + Live TV (Fubo/Disney)	\$89.99	~4.6M*	Now a sibling under the same roof, not a rival
Fubo (combined)	\$64.99–\$98.99	5.7M	Sports-first #2; best DVR (1,000 hrs) / streams (10); Disney-backed
DirecTV Stream	\$94.99+	~2M	Priciest; melting incumbent
Sling TV (EchoStar)	\$40–\$66	<1.8M	Discounter; parent DISH in Chapter 11 (Jun 2026)
ESPN Unlimited (DTC)	\$29.99	~1.7M	Disney's direct product: strategic threat and reseller partner

YouTube TV is the existential comp — nearly twice Fubo's scale, Google-subsidized, matching Fubo's skinny-tier pricing move for move. Fubo's edge is sports depth (RSNs, 55,000+ events/year) and, newly, the Disney relationship. The industry backdrop is stabilizing: U.S. pay TV ended Q2 2026 at 61.5M subscribers, shedding 885k in the quarter while vMVPDs added 68k — the tenth straight quarter of improvement in the traditional decline rate (MoffettNathanson, September 2026).

6. Valuation (v2 hardened): scenario DCF, reverse-DCF, relative value, takeout

We value Fubo under hardened v2 rules: 10-year scenario DCF (25/50/25 weights), scenario-specific discount rates (base 12% for this speculative controlled stub / bear 14.5% / bull 10.5%), terminal growth capped at 2% on mid-cycle margins, and a bear case that genuinely hurts. FCF is modeled as EBITDA less ~1.5% capex intensity, with NOLs shielding cash taxes. Net debt \$86M is deducted; all per-share figures divide by 109.2M economic-equivalent shares.

Lens A — Scenario DCF (10 explicit years, combined entity)

Scenario	10-yr rev CAGR	Steady EBITDA margin	Discount	Fair value / sh
Bear — cord-cutting wins; subs drift; synergies accrue to Disney, not the stub	+0.5%	3%	14.5%	\$2.91
Base — subs flat-ish, ARPU +2–3%; Disney synergies lift margins toward 8%	+3.5%	8%	12.0%	\$28.17
Bull — ESPN distribution + ad-server work; subs +3%; margins to 12%	+6.0%	12%	10.5%	\$70.94
Weighted (25/50/25)	—	—	—	\$32.55

The bear case clears every v2 bear-must-hurt test: revenue CAGR of 0.5% is under 3%; the 3% steady-state margin is 500bp below the base case; and \$2.91 sits 66% below the \$8.66 quote. Terminal value is 51–66% of enterprise value by scenario — under the 70% haircut threshold, but the model remains a margin-expansion bet, stated openly. The spread between \$3 and \$71 is the reason this is a speculative BUY: the expected value is strongly positive, but the distribution is extremely wide.

Lens B — Reverse DCF: what is the market pricing in?

Holding our base-case margins, discount rate and terminal assumptions fixed, the \$8.66 quote solves to roughly a –10% compound annual revenue decline over the next ten years (to ~\$2B of revenue by 2036). Alternatively, at a neutral 2% revenue growth rate, the quote implies a ~3.5–4% steady-state EBITDA margin — below the ~4–5% margin embedded in management's own public 2028 target (\$300M on ~\$6.8B of consensus revenue). Framed plainly: the market is pricing in failure on both growth and margins simultaneously, worse than the company's own guidance — a plan the last three quarters' EBITDA prints support.

Lens C — Relative value

Multiple	Assumption	Fair value / sh
EV / revenue 0.5x	0.5x on \$6.19B 2026E	\$27.56
EV / subscriber \$400	\$400/sub on 5.75M (distressed cut of deal value)	\$20.32
EV / subscriber \$600	\$600/sub on 5.75M	\$30.76
EV / 2028E EBITDA 10x	10x on \$300M mgmt target, PV'd at 12%	\$20.47

Today's quote is 0.15x revenue and \$164/sub. The January 2025 Disney deal implicitly valued these subscribers at roughly \$800–1,000 apiece. Precedent pay-TV transactions cluster at \$400–1,000 per sub even for declining assets. The 2028E EBITDA cut is the most conservative lens: it values only the company's own stated target at a market 10x multiple, discounted back to today.

Lens D — Disney takeout of the stub

At a strategic 0.5x sales takeout multiple — a multiple no independent board would call generous — the stub is worth \$27.56/share; at 0.75x, \$41.73. Minority shareholders cannot force a takeout, and Disney has no obligation to pay fairly — but strategic owners with \$145M of committed financing and board control rarely leave a stub trading at 0.15x sales forever. We treat this as upside optionality, not base case.

Blended target: \$33

Valuation read	Fair value / sh	Implied upside
Scenario DCF, 10-yr, 25/50/25-weighted	\$32.55	+276%
EV / revenue 0.5x (trough multiple)	\$27.56	+218%
EV / subscriber \$400 (distressed cut)	\$20.32	+135%
2028E EBITDA 10x on mgmt target (PV'd)	\$20.47	+136%
Street consensus (MarketBeat, Moderate Buy)	~\$16.83	+94%
12-month target	\$33	+281%

We set \$33: the probability-weighted DCF rounded, with no departure from it. The controlled-company risk is priced through the 12% base discount rate (a full speculative-tier rate for a ~\$1B enterprise) rather than an ad hoc stub haircut. It sits above the Street consensus (~\$16.83, Moderate Buy), because the Street's models, in our view, underweight the synergy-driven EBITDA inflection already visible in the last three quarters — and the Street's own targets have been cut repeatedly on price action more than on fundamentals (Wedbush \$42→\$19, Needham \$51→\$15). Every lens says the same thing in different units: the quote prices in failure, and failure is not the base case.

Figure — Scenario fair values vs. target (\$)

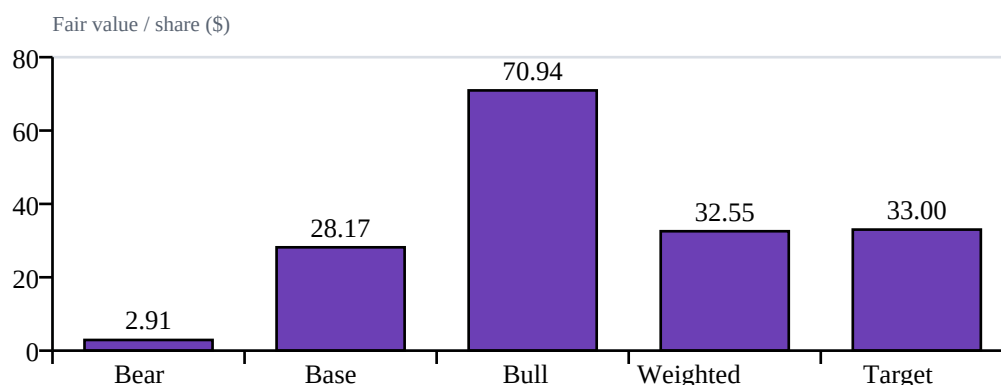


Figure — Scenario fair values vs. target (\$). The \$8.66 quote sits beneath every scenario except the bear (\$2.91). Source: analyst model, October 4, 2026.

7. Risks

Controlled-company governance (the central risk). Disney holds ~70% of the economics and the votes and has shown it will act unilaterally — the 1-for-12 reverse split was executed by Hulu written consent (February 3, 2026) with no shareholder meeting. Minority shareholders cannot block strategy, capital allocation, or a takeout price they dislike.

Dilution and overhang. The authorized share count was not reduced in the reverse split, and 79M Class A shares are registered for eventual exchange of Disney's interest. Any liquidity shortfall is likely to be solved with the printing press.

Structural margin thinness. ~7% gross margins are not a phase; they are the vMVPD business model. Content owners (Disney itself, Fox, CBS, NBCU) capture essentially all the value. If content-cost inflation outruns ARPU, the EBITDA inflection reverses.

YouTube TV and the scale game. Google's 10M+ subscribers, unlimited DVR, and new genre plans (\$64.99 Sports) match Fubo's moves with deeper pockets. A price war in skinny sports bundles would compress the exact segment Fubo is counting on.

Carriage and content risk. The NBCUniversal blackout (November 2025 – June 2026) is resolved, but each renewal is a potential blackout, subscriber shock, or rate step-up — and Fubo's sports-first customers are the least forgiving of gaps.

Cord-cutting and churn. The U.S. pay-TV universe shrinks ~5% a year; Fubo's own 6.2M → 5.7M seasonal swing shows how quickly sports-season subscribers leave. Sustained sub declines break the synergy math.

Financing. \$236M of cash funds the plan only if FY2027 FCF inflects positive as guided (consensus +\$125M after -\$441M in FY2026). A miss re-opens the capital question on terms Disney dictates.

Market structure. 20.9% short interest and a 2.39 beta: the stock can stay dislocated, and forced selling around the Class B exchange registration is a real technical risk.

8. Recommendation

BUY (Speculative), \$33 twelve-month target (+281%). Fubo is the rare equity where the market's implied expectations sit below the company's own public guidance: the quote prices in a decade of ~-10% annual revenue decline or ~3.5-4% steady-state margins, while management — with Disney's balance sheet, ad server and distribution behind it — targets \$300M of EBITDA by 2028 and positive free cash flow in 2027, and has printed three straight quarters of positive adjusted EBITDA to prove the trajectory. At \$164 per subscriber and 0.15x revenue, against ~\$800-1,000 per subscriber implied when Disney struck the deal twenty-one months ago, the stub is priced as a stub in liquidation rather than as the sixth-largest U.S. pay-TV operator. The v2 DCF — with a bear case that genuinely hurts (\$2.91, -66%) and speculative-tier discounting — still weights to \$32.55.

This is a High-risk special situation, not a compounder — size it as one. A 1-3% portfolio position is the right frame: the expected value is strongly positive, but the bear case is a real state of the world, and minority shareholders have no vote and no catalyst they control. The position earns its keep through: (a) quarterly EBITDA progress toward the \$300M 2028 target, (b) Disney Ad Server migration completion by year-end 2026, (c) the FY2027 positive-FCF milestone, and (d) the ever-present takeout option on the 30% stub at \$28-42.

What would change our mind: to the upside, sustained subscriber growth (not just seasonal recovery), ad ARPU compounding post-migration, and a takeout bid — the bull DCF (\$71) becomes the conversation. To the downside, pro forma revenue declining while content costs rise, the FY2027 FCF target slipping, any dilutive equity raise using the un-reduced authorized count, or Disney actions that subordinate the stub — any of which re-rates the shares toward our \$3-9 bear zone. Sell discipline: cut the position in half if the stock reaches \$25 ahead of the fundamentals (de-risk into strength), and exit entirely on a dilutive raise or a broken FCF trajectory.

Appendix A — Methodology and key assumptions (v2)

Share count. All per-share figures divide by 109.19M economic-equivalent shares (30.20M Class A + 78.99M Class B, per the 7/31/2026 10-Q), post the 1-for-12 reverse split effective March 23, 2026.

Scenario DCF (v2). Ten explicit years off a \$6.19B FY2026E revenue base (consensus); starting EBITDA \$95M (midpoint of the raised \$90-100M guide); EBITDA margins gliding to 3% / 8% / 12% by scenario; FCF ≈ EBITDA less 1.5% capex intensity, NOLs shielding cash taxes; discount rates 14.5% / 12.0% / 10.5% (bear/base/bull); terminal growth 2.0% on mid-cycle margins. Net debt \$86M deducted. Terminal value is 51-66% of EV by scenario (under the 70% haircut threshold). Growth and margin paths are set from historical fade and vMVPD unit economics, not from management targets — the base-case 8% margin is deliberately below synergy-optimist hopes.

Reverse DCF. Binary search on (i) a constant 10-year revenue CAGR holding base-case margins fixed, and (ii) a steady-state EBITDA margin at 2% revenue growth; solves the CAGR/margin equating model equity value to the \$8.66 quote.

Relative valuation. EV/revenue, EV/subscriber and EV/EBITDA on the combined entity, October 2, 2026. Subscriber base 5.75M (FQ3'26). The 2028E EBITDA cut present-values a 10x multiple on management's \$300M target at the base-case 12% discount rate over ~2.25 years.

What we did not do. No dividend model (no dividend); no sum-of-the-parts (the two brands share infrastructure and subscribers); no Monte Carlo (three explicit scenarios communicate the distribution better).

Limitations. Pro forma history is short (three quarters) and the accounting-acquirer convention makes as-reported history incomparable. Small changes in margin trajectory or discount rate move the DCF by tens of dollars per share.

Appendix B — Disclosures

This note is an independent research-style analysis prepared for informational purposes. It is not investment advice, not a recommendation to buy or sell any security, and not a personal financial plan. All forward-looking statements — scenarios, targets, and projections — are estimates subject to uncertainty; actual results may differ materially. Valuation models rely on the assumptions disclosed above. The author may hold positions in securities mentioned. Past performance does not predict future results. Financial data: FuboTV Inc. 8-K/10-Q filings and earnings call transcripts; deal terms: Disney and Fubo press releases (1/6/2025, 10/29/2025); market data: Yahoo Finance, October 2, 2026 close. Verify all figures against primary sources before acting.